Nvidia to $10 Trillion? The Risk-Reward Doesn't Add Up

Podcast: Know your risk

AI Executive Summary

1. Core Thesis: The episode argues that traditional investment allocation strategies, specifically domestic index-heavy portfolios and the historical effectiveness of a 60/40 bond-stock split, have become obsolete due to shifting economic fundamentals and market composition. The hosts advocate for seeking asymmetric risk-reward ("convexity") in investments by moving away from the U.S.-centric market cap game and relying instead on high-yield global shareholder yield ETFs (particularly in emerging markets), commodities, and alternative real assets to hedge against inflationary pressures and structural fiscal risks that render standard bond allocations unreliable.

2. Key Arguments & Data:

3. **Market Performance:** The S&P 500 fell 0.4% despite a strong jobs report; the Mag7 all suffered (Tesla -6%, AI stocks like DRAM +6.6%). Gasoline futures are up 2.4% with retail prices at record highs (~$15/gal), and diesel is near $6/gal.
4. **Economic Indicators:** The recent jobs report was a positive surprise (+162k vs 55k expectation) after two negatives in a row, which revised the labor market narrative. However, Nominal GDP is running at an 8.1% expansion rate, driven largely by capital expenditure (capex).
5. **Inflationary Impulses:** Diesel prices are driving inflation upward; the Fed is expected to prioritize CPI/PPI data over jobs reports due to energy and tariff inflation. The S&P is viewed as un-diversified now because it has never been composed this heavily in tech/growth sectors, removing its historical reliability as a diversifier.
6. **Bond vs. Equity:** Bonds are no longer reliable shock absorbers; with high rates (10-year at ~3.75%) and a massive fiscal deficit (~6% GDP), traditional 4-6% yields do not justify the risk compared to equities or other alternatives.
7. **Alternative Investments:** Cambria's CS and EM shareholder yield ETFs provide high-yield exposure (e.g., ~5% yield in EM) without tracking market caps of big tech, reducing concentration risk. A private

REIT was noted as outperforming PIMCO Total Return over 25 years with half the downside volatility.

8. **Value vs. Trap:** Lululemon and Nike are down 70-80% from highs but represent potential buying opportunities due to negative inflection points, whereas investors should avoid "value traps" like NVIDIA hype (10T market cap valuation) that lack convexity protection.

9. **Macro Trends:** Global diversification (XUS) is preferred over US equity dominance due to better risk-adjusted returns and valuations abroad.

10. Actionable Takeaways:

11. **Prioritize Convexity:** Avoid investment setups where you could double your money but also lose 40-50%; focus on high upside, limited downside opportunities ("convex").
12. **Shift Allocation to Emerging Markets:** Increase exposure to XUS/foreign markets via shareholder yield ETFs (specifically Cambria's CS & EM funds) rather than standard domestic index funds.
13. **Rethink Bond Allocations:** Avoid traditional 60/40 portfolios where bonds act as a "spring" rather than a shock absorber; consider alternatives like high-yield real assets or private REITs for yield if you are exposed to equities and inflation.
14. **Search for Value Off-Market:** Instead of buying popular growth sectors (like tech/AI) at premium valuations, look for undervalued companies in niche sectors ("dumpster diving" for alpha).
15. **Monitor China Relations:** Keep a close watch on rare earth imports from China and tariff posturing as this impacts manufacturing supply chains and inflation.

Full Transcript

If it goes my way, I can double my money. If it doesn't go my way, I can lose 40 to 50 percent. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the daily dots and I am joined as always by the brain trust himself. Mr. Chase Taylor. Um, kind of quiet day. Anyway, let's, uh, let's hit him with the rundown and then, you know, it is the Friday show. So, uh, let's see where it goes from there. Yep. S&P was down 0.4. Q's were up 0.2. Small caps up a little better than that. Bitcoin is down a smidge. You had Mag7, which were crushing yesterday down almost one and a half. All of them, XUS of 0.55, despite the dollar being up 0.16. Been kind of a weird couple of days where XUS likes dollar up, but I don't know. As far as the Mag7 names themselves, Tesla, I'm actually looking smart on that level. I highlighted because it was down 6% back below that area. Apple down two and a half. Other than that, everything was pretty small moves. The two year was up four basis points on the very very strong jobs report 10 years up one basis point 30 year flat Oil front month pretty flat though you get out to December up half percent you get out into next year stuff is up over 1% kind of the opposite yesterday Though gasoline futures up 2.4% and breaking out on the chart. This is the most expensive gasoline we've ever had for this time of year and and Diesel literally set a record for a retail price for diesel. We're getting close to that six dollars We talked about only like 15 17 cents to go Gold down one want to change silver down want to change. They're both literally down the same

amount Gold miners down a little over two Vaughn finally had an update About 0.7 and that still has you at 16.25 It was red most of the day. So that had to be some kind of late in the session Buying which is at least a little bit interesting Really good day for the AI trade DRAM up 6.6 chips up 2.6 Bloom energy up 7 so like that was an interesting part of the day. It was your you were read You know not a lot of breadth out there, but really nice day for for the AI stuff kind of quietly A lot of different ways to attack that one I wanted to get to this a little bit later. I had some interesting thoughts and heard some interesting commentary on NVIDIA that I thought was really interesting, especially considering the conversation that we were having yesterday. I'm a bit surprised to see oil sitting right here. I kind of thought you would really feel to me like the market is not really worried about

eminently dropping oil prices like it would have been like, let's say four months ago. And yet at the same time, it doesn't seem to be a lot of upward pressure on it either. What do you make of oil right now? Yeah, something really notable and I give credit to Warren Pies for highlighting this today. If you look at Shanghai futures, compare those to Brent, the Shanghai futures have been cheaper than Brent since May and now they just went above, which is a reasonable proxy for Chinese demand. which is uncomfortable because I think it's obvious that the single best single biggest contributor to price distinct chill was the fact that China just vanished from the market on the demand side. So yeah, I talked about yesterday, like the physical compared to futures that is picking up and now you see China versus the rest of the world picking up. So the real life demand signals are starting to starting to pick up, which is, I think it was the best week for price, maybe even in months. Let me go look real quick. So not big moves here lately, but if you look at kind of the week, yeah, it's a big week. Yeah, that's true. And you're at 91 now. You were in the 60s. I mean, at the end of June, you're in the 60s now, you're above 90. So It's it's made up a good bit of ground If China keeps buying and if the straight stays closed like you're just gonna keep grinding higher I mean there's there's yes, you look and job on it back to the 80s or maybe even 70s if it looks real But you're gonna keep grinding higher I'll get to the It was funny because usually, you know, usually timing isn't quite this lucky in terms of you hear something that really encapsulates your view I was having a conversation with Jamie this

morning, our junior analyst and While I was having that conversation. I was watching some kind of market commentary. I can't remember exactly where it was but Adam Parker an analyst I believe for I think it's Morgan Stanley. It was more he was Morgan Stanley guy at one point and He came on and his big announcement, you know and CNBC is making a big deal about it and video to 10 trillion market cap, okay?

Let me just say right out of the blue. I have no thoughts on that. I'm not saying he's wrong. I'm not saying that's a big price. Did he offer a timeframe on that? I think he said in the next year, okay? But don't quote me. But I mean, they were talking year, 18 month, month outlook. So, you know, somewhere in that bubble. And that comment, cemented the views that I was talking about and expressing yesterday better than any that I could. And I was having that discussion with Jamie this morning, and I said, look, when I look at some of the companies we own, like in I-80, and just using that one as an example, because that's the one I was talking about yesterday on the show, we own a bunch of stuff where I'm looking at it and I think that right now, the value of it. I think a lot of the stuff that we own is trading at half or a third of its intrinsic value, right? And then I'm sitting there looking at a guy who's touting NVIDIA doubling, and I'm looking at how complicated that is, meaning to no fault of NVIDIA, incredible company, but NVIDIA gets 5% to 7% margin compression. The stock could be down 40%.

and you'd still have a company that was trading it above 10 times sales. You'd still have a company that was trading north of a two and a half trillion dollar market cap, right? Meaning, I'm not gonna tell you it can't go to 10 trillion. I wouldn't be shocked if it was. If you told me 18 months from now Nvidia was gonna have a 10 trillion dollar market cap, I think I could point out five things in today's market that are more ridiculous than that. And pretty shortly, right? Yeah. Because their PE at that level is not that crazy. Right. It's not ungodly. And, you know, again, you compare it, you know, Carvana, compare it to, you know, again, I can find so many more ridiculous things in that. But here's my point. That whole game seems ridiculous and complicated when you look at a lot of the other stuff we own, right? When you look at so many other plays out there. And that's my point. I don't know those guys are wrong. Nobody does.

I don't even, I won't even confidently set up here and tell you, I think they're wrong. I don't have a view. I just know that that's extraordinarily expensive. And if you're telling me, here's the other thing I'll tell you, I am not looking for risk reward outcomes that are, if it goes my way, I can double my money. If it doesn't go my way, I can lose 40 to 50%. I like much more convex setups than that. You know what I mean? I want to look at something that I think that if If I hold on to this thing at this price and I ignore crazy markets, I don't really think I've got much to lose at all at this current price. And yet at the same time, if you told me this thing was trading at three to four times what it currently is two years from now, that isn't a stretch either. Those are the kind of risk reward setups I want. And when the darling of your market gives you that kind of risk reward setup where you're upside I mean, just think about that. That's just not that great. Your upside is an 80% gain. Your downside's 40 to 50. I want a much more convex upside. And I guess that was my point is, if you're looking for convexity in investments, and if you're not, you're doing this wrong. But if you're looking for convexity, I think that's just my biggest gripe about US markets. I think there's just very little to be found. Yes, but at least at the top, I mean, I think you can find context in US markets, but you're going to have to look right. You've got to look where no one else is. You got to go dumpster diving. I mean, it's the stuff nobody cares about or maybe more of the point hates. Yeah. Now, flipping over, let's dig into that strong jobs report, because this is a classic example. And I know that you're going to back up what I'm saying. But seeing a strong jobs number right now is why you just cannot get and do not listen to the people, they get all spun up over one or two or even three bad jobs reports. Like Druckenmiller, I was listening to an interview with Druck today and he was saying it perfectly. He was like, look, when I'm looking to, when I'm trying to figure out whether recession is on the horizon, I'm looking at individual companies and I'm looking at commentary of businesses. I don't pay attention to the stuff PhDs do. And, You can take our advice on that, or you can learn that lesson yourself over the long run. But I'll just tell you, again, we said it the other day, you were starting to get those recessionary calls, kind of the perma bear is coming out. Look at all these jobs numbers caving over, and you and I were just saying, yeah, we got a couple in a row now. We need to pay attention to those. But don't read too much into it, because you could have two good

prints that follow that up right afterwards, and completely override that bearish sentiment.

And it kind of sounds like that's kind of what we got today. Yeah, it was very strong. And I think maybe more to the point. So the last one we had was negative. And there were a lot of people, including really prominent people, saying, I think this one's going to be negative. And if you got two negatives in a row, that was important because are they going to raise rates with two negative job prints? That's crazy. But as it turns out, we have zero negative jobs prints because the prior one got revised from negative. into positive. The expectation was 55,000 jobs, and you printed a positive 162. You almost tripled the expectations on private payrolls, and then on top of that, hours were better than expected. It was a very strong report. Now, the labor market's not blistering or anything. I don't want anyone to think.

that, and this one's probably overstated. It'll probably get revised down. Point is though, the labor market's fine. It's good enough. The unemployment rate's very low. It's to the point where the Fed could basically ignore it. It's not so strong that it's going to be really inflationary, at least right now. But it's not so weak that you have to worry about the economy coming down. So now they can really focus more on that CPI print next week and PPI. And if those are warm, then they probably better hike. And if those are cool, You know, they at least have to balance it against this whereas this as if this came in weak It would have taken a lot from that CPI for them to hike now. It's like it may not take a whole lot from that CPI for them to hike Especially with you know, as I mentioned to be gas prices and diesel prices have never been higher on Labor Day and history. So like that's an inflationary impulse Did you dig down into the details of it? Not not like super hardcore like I often do because it was okay because it is so So like Goldilocks that I just don't feel the need to get in the details like who cares like it's it's Because I think the reason I care about that thing is because I know the Fed cares But I know this is good enough but not bad enough for not so great that the feds are like, okay, whatever So so am I Yeah, I don't know what your take is on the interest rate side of it. I I actually think that If you were just to show me the board and set aside all the talk and angst and all the stuff we've heard, it kind of just gave me the overall 30,000 foot view. And if I was a voting member, I'd be leaning just

toward not making a move one way or the other right now. I mean, that's kind of what the data indicates to me. Now, being said, could you stretch it and justify a hike? Sure.

I think that jobs report definitely puts kind of another point on that side of the argument. Where are you at though? I mean, I think you could, it sounds funny being a regular critic of the Fed, but I kind of think just sitting pat and staying here makes sense. Yeah, I'm definitely more in the hype camp. One sec, let me, I do, I keep a tracker for, Like that's sort of a now cast for nominal GDP. Yeah. That thing's running at 8.1%. So that's way too much. That's hot. You know, that's stuff that other than the COVID era we haven't had since like the 80s. How much of that is capex? It has to be a lot, man, because I just, I don't see 8.1%. I don't, that must be reflected capex. You got to remember, you know, close to half of that's inflation. Right.

But given that, with the policy rate where it's at, we just did three cuts because we thought the labor market was breaking. Now the labor market is clearly fine. So to me, you at least need to put those cuts back on as hikes. Inflation is high. It's rising. Everything that we know about inflation for the next three to six months doesn't look good. Energy is going to be expensive. Food is going to be expensive. obviously of the AI inflation, which, sure, AI may turn into a deflation or a thing at some point, but for now it's not, it's inflation. Big time, actually. You still have some tariff inflation coming through, especially as we keep changing those and stuff. So like, all that tells me you have an inflation problem and it's probably going to get worse. So I don't know why. For me, I wouldn't wait till it got worse to start hiking. The only argument I can see for not hiking is one that No one's going to make because you can't say this quiet part out loud. We can't do that because interest rates are actually inflationary or what we've got to burn down the debt with inflation. I am sympathetic to those arguments, but if we're not in a world where we're going to say that out loud and we're going to pretend like it's five, 10 years ago, then I think you've got to hike here.

I guess the better question is, do you think they will? I think it comes down to the inflation prince this week. I think if that comes in hot, I do think they will. I think they should either way just because this is where the common sense comes into play to me. The Fed, they're so busy thinking about these

models and trying to drill into the 43rd layer of inflation to figure out which is the most underlying aspect of it that can mute out all the noise, which turns into everything. And for me, like I'm more of a like, well, let's look out the window and see what's going on kind of kind of guy. So when I see diesel about the trip six bucks and I see what's going on with crop yields and when I see the AI inflation, when I look at all that, I'm like, what are you talking about? It's like the map is not the territory thing. Like they're staring at the map and it has nothing to do with the territory right now because of All these inflationary impulses so to me it's like we're gonna get this situation where they're gonna say oh well that cliff wasn't on my GPS Yeah, but you have a windshield you could have looked out of of course the cliff wasn't on your GPS, right? So I think you're gonna they might wait until inflation's above four again, and then they're really like oh wow Who could have saw that coming? I don't know anyone that has anyone that can look up the price of diesel could see it coming, but whatever Yeah, yeah, there's not complicated calculations, for sure. What else? Was that pretty much the extent of economic data we had out this week? Was that about it? It's all these stuff that, to me, mattered from the week. I think we have covered yet. Okay. Getting into straights of our lives. Where are we at today? I haven't even looked at that. I've been looking at a bunch of other stuff. Like I said, I was listening to that direct interview. I was digging into some other value plays that we're looking at.

And I, and I'll mention them, I saw Lulu Lemon get absolutely crushed. No, no, no, um, haven't, haven't done the work yet. So no opinion on that one way or the other. So not advising anybody, take any action on that. Um, we'll say this though, the reason it popped up on my screen was, you know, first of all, I think that things down like 80% from its high. Uh, we owned it at one point. Thank God we stuck to our discipline on that because we unloaded it a long time ago and That's there's a classic example of value investing going bad meaning It is a perfect value trap Yeah, yeah, and that and that's and that's why we polled thank goodness and that's what you got to be careful is You know you get these negative inflection moments for these companies And, you know, you can be buying that thing at a very, or what seems, especially looking at recent history, what seems like a really discounted price. And, you know, if we get along that stock again, I think the best move we've ever made regarding that stock will be the fact that we

took a really small position and then got out with a very minor loss or minor gain, you know, a couple hundred bucks ago.

Same with night. We took a shot at Nike a long ways ago and got out like yeah And that was less of a value play to be clear like that. Yeah way way different but and now I and now I think you're in a place with both where you could be in a buying opportunity We're see we're certainly gonna look at both of those And I'll kind of give you Nike. I think it's a little bit more obvious And it really looks to me like and again I'm assuming that the issues Nike has are more widespread. I think you made some really questionable and costly marketing decisions obviously. But on the underlying fundamentals that Jordan brand fever that was going on for a while has somewhat subsided with the younger generation. I can just see it in my kids. I can see it in other you know other kids.

Um, you know, I don't think Jordan's ever not going to be unpopular, but the days of people, you know, waiting out in line and, you know, spending, you know, 400 bucks on a shoe that was released 30 years ago, right? I think that's died down considerably. Um, and I think that was a big profit driver for them, obviously. Um, so going to be looking into that one, but what I was going to say is go look at both of those stocks. I want to say they're both down 70, 80% from their highs. And I think with both, you have, you know, really substantive brands underneath, you know? And with Lulu Lemon, now, and Jamie and I were discussing this, I am not a good projection of the average consumer because if I find something that I like, I love Lulu Lemon clothes, man. I know that I'm not the kind of guy I'm the kind of guy that when my wife first brought it up, I was like, I'm not wearing lemon. That's like a woman's brand, you know. And then she bought me a couple of things. I just fell in love with their stuff. It's so comfortable. It's so usable. It fits great. You know, it's just, I know if I get the Lululemon version of anything, I'm going to like it and it's going to fit well. And it's just, I love their stuff. And, you know, as anecdotal as that seems, that investing, or including things like that into my investment process has made me better. It's kind of like the Peter Lynch approach, right? Don't make it too complicated. Do you really like their product? Do a lot of people like their product? Lynch talked about walking around the mall and looking for the store that had the biggest line out the store. Don't

make this too complicated. Look at what consumers love. Look at what they're pining for. Look what they're crawling over each other for.

Wow. But that's their problem is no one loves them anymore. Right. The bloom is off that rose for right now. But when you're talking about retailers and apparel companies and things like that, those are incredibly fickle consumer markets. And, you know, like, for instance, a Nike obviously has a lot more of a track record than a Lululemon. But if you put a gun to my head and made me bet one way or the other, is Nike done as a brand? I'm going to say no, right? Now, I got to see that reflected in decisions that their management's making. I got to see that reflected in a lot of other things they're doing. But the other thing is I look at both of their stock charts does not mean they couldn't go lower, but it looks and smells like some serious capitulation, you know? And again, we got to do a lot of work underneath the hood and looking at the internals of this stuff. But I think I think those are two good examples of some stuff that you might want to start taking a look at. Companies that have good products that sell things that people like, they go through a rough spot and get hammered. Not making it too complicated. Those definitely popped up on my screen.

The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. How about you? What are you looking at? Anything new pop up on your screen this week? Yeah, so there's two things we put in the book that are kind of the same thing. I may have already mentioned this a little bit on the show, but a couple of Cambria ETFs that are amazing to me. They have shareholder yield ETFs, which I knew they had a US one. So it screens for obviously shareholder yield, which for folks that don't know, it's a combination of dividends, buybacks, and debt pay down. It creates shareholder yield, which obviously has a lot of good wrapped in it. But then they also screen to make sure that things aren't too expensive or low quality or whatever. Make sure you don't have any dogs in there that just happen to have shareholder yield.

Um, but they have these for emerging markets and for the entire world. So, or should say X us so foreign and they do a hundred companies equal weight. So you don't, you don't still get like stuck in. So like, if you go by, you know, E M, you're just buying a couple of AI companies, sadly, whereas this, if you could buy the emerging market thing, you probably have a hundred companies never heard of that are doing a bunch of buybacks and stuff. Um, and the performance is awesome in them, but. It's performance that I feel like I can trust moving forward. Whereas like, I want to park money outside of the US, which you know, I do from like a big picture trend standpoint. I really want thoughtful mousetraps to do that, not just like, here they are by market cap waiting or whatever, you know, and those two, to me, give me that in spades. So I love those things. And if we've put them on small, I want to put them on a lot bigger over time. But you know me.

I want to start small and then when they have a really bad day, give me some more. Hey, we were talking about this in relationship to the S&P yesterday, but I think you bring up a great point that people need to at least think about. And chances are, if they're watching this podcast, they at least care about valuations and fundamentals to some degree. And that is, if you're looking for those great value opportunities and really discounted asset prices. I do not believe the world is a place right now where you can find those in typical ETFs because even ETFs of sectors or markets that look really cheap, they're still subject to that market cap game that you're talking about, right? The vast majority of them, especially if they have good charts and they perform well, right? Ironically.

I just think that this is this environment where and the ETF example, this is kind of another example of that is if you want to find the deals, if you want to find the alpha, if you want to figure out where that performance is coming from, you got to fish where people haven't been. And I think that is, that goes for ETFs as well. Not saying you can't find some out there like MEB and some of the stuff Cambria puts out. I love it. I think they do. Yeah. G Val same thing. I was going to, I was going to bring up G Val. Yep. And I, there's, but you know, the reason we're talking about their products is cause there's not a lot of other shops that offer that same kind of thing, right? And, and, and again, that, that has, that's the reason why is cause

that's not what worked, right? Wall Street is amazing at feeding the ducks. So, and you have to keep that in mind. If you see a bunch of new product out there, that's probably not where you want to be because the reason it's there, the reason there's a bunch of new product out there is cause there's demand. Why is there demand? Cause it's worked really well.

In in the last like two three years is space ETFs crypto ETFs just yep for you know 3x you know growth company ETFs like it That's what's what's been shoving in the market Because like if you if I explain to some you know aggressive, you know young investor how? The foreign shareholder yield ETFs work stickers like fall asleep in the middle of it, but over a 10 20 year period Yeah, the drawdown risk, the growth in that is going to probably destroy some US-based space company or something. Yeah. And I just cannot reiterate that enough, man. And again, this market has made this transition, or if I'm correct, it's made this transition pretty non-violently and pretty gradually over time, meaning you got every sign you needed to sit there and say, hey, I got to reconstitute this portfolio. I got to get some new weightings in here. I got to get more exposure to places I haven't been. I've got to look at more single stock exposure as opposed to just ETF everything. Man, there's been a lot of warnings and a lot of yellow lights kind of sending that signal out. And it's just one of those things, man. Like everywhere I look, I just see that being confirmed.

You go look at the ETF. I mean, so many of these ETFs that people use, go look at the top five holdings. I just have zero interest. It's crazy. Yeah. Yeah. And my favorite is the ETFs that have nothing to do with like big tech, but they'll still have a big tech in there. And you're just like, what? Or there's like cheat and throw one of those in there. Yeah. Cause they're, yeah. Cause even the stylistic ETFs, the vast majority of them are shadow indexing to some degree. right? Because they just don't, they don't want to, they don't want to get left behind. And I get it. But yeah, I mean, and you'd always see that, right? Especially late in cycles, you see in mutual funds too. You look at the title of the mutual fund, look at what it was supposed to be doing. And then late in the cycle, you'd go through its top 10 holdings, you'd be sitting there going, wait a second, that's mid cap value. That's the fifth largest company in the world, right? The ETFs.

And again, you don't have an underlying manager making the decision or the allocation bet in a lot of these ETFs, the vast majority of them. But they're just reflecting what the market's doing. And so you're ending up with the exact same dynamic. I mean, we've used a lot of ETFs in management. I bet you we probably have less ETF, quote, you know, I think we have less ETFs and more single stock exposure in the portfolio than we probably had on average over the last five years, would be my guess. You're not gonna have got personally Well, you you are but I'm saying in the value portfolio right now I mean if you took esc of you know where we're using it as a cash alternative and we've got some clients that have cash sitting it and stuff like that I bet you we've got less capital invested in ETFs inside of our value portfolio right now that we have on average over the last five years Is that correct? I could be wrong. Is that incorrect based on what you I would have to look I don't I don't know that That sounds reasonable. We do have a lot of single names. I more think, because I'm so top down, I'm more of an ETF than a single name. I don't trust myself to get a single name right in the same way I do a theme. You know what I mean? Yeah. Yeah. Well, and to be fair, the ETFs that you're talking about kind of are like single stock names. I mean, when you're using a lot of these ETFs, you're using them for pretty surgical.

type areas, you know, you're very thematic. It's not an index. Yeah. Yeah. Right. Which, right. Which, which makes them kind of like antithetical to the general ETF proposed, you know, well value proposition, I guess would be the way to put it for the ETF. But, um, yeah, because you're using them like single stock. I mean, when you sit there and you stick, you know, your cocoa ETF in there or whatever. I mean, that's not, you know, people are buying ETF. Oh, they still don't have one. They used to and they got rid of it. Had a great symbol, nib. And it probably, I'm assuming they got rid of it just no way. Nobody was interested, other than you. You probably made up, what, 80% of their flow? Story of my life with ETFs, yeah. My favorite new one is Crop, which we started putting on this week.

I assume it's self-explanatory for the things it holds, but ag tech stuff, equipment producers and things like that for the agricultural space and agricultural chemicals and that kind of stuff. Same with Moo, which is also a great ticker symbol, Moo, which is another ag ETF. I like the thematic

stuff where I can really express the view versus let me own all the things. Yeah, I will say. One of my new favorite quotes, and I owe my buddy, Ferg, for introducing this quote, is the Eric Peters quote. And he said, the best alpha is having the right beta. And I was just like, yes. So yeah, to me, over the next 20 years, if you're just overweight, hard ass, that's overweight XUS, and you're underweight, fixed income, everything else is going to work out fine. So just get the right beta. You don't have to pick the perfect stock in the perfect country.

Just have more ex US than other people and you're going to be okay. Just have more real assets, more commodities and other people and stay away from duration, you know, whether it's corporate or sovereign and you're going to be all right. That's it. That's it. I like that. That's a good way to put it. Have the right beta. I mean, that's basically the argument we've been making, you know, about increasing exposure to international and, you know, natural resources, precious metals, all that kind of stuff. No, I think that's a great way to put it. And yeah, I just continue to think that that, you know, weird, it's kind of weird to say this, but we're always diversified. I think, you know, staying diversified on some, I mean, obviously there's times where you need to go heavy into things and you need to concentrate. But, you know, staying diversified should be an evergreen part of the portfolio.

I just think that the term diversification really needs to have a different meaning right now. You need to really think about what diversification means and not just slapping stuff in a portfolio, right? Again, and I don't want to go back to yesterday's show, but a perfect encapsulation of that right now is if you own the S&P 500, you own something that is completely new and that has no track record. because it's never been composed this way. So it does not represent diversification. Do you need to be diversified? Yes, but you have to put more thought into what that actually means, because the traditional routes of diversifying do not exist. And diversification is what made the Vanguard approach, the ETF buying the market, the S&P 500, that's what made it so attractive. And just hammering home to people, it is no longer that same thing.

And if you look at something that has completely changed its constitution underneath the surface, and you expect that thing to deliver you the same returns it has historically, do not be upset when it doesn't happen. It is guaranteed to not happen. I cannot tell you what those returns will be, but they will look substantially different than what you would expect the S&P to return on a historical basis. And when you look at the composition of it, and you look at the values of the things that it is more over-weighted, I cannot say this with certainty, but I can say it with a very high level of confidence that that a similar or that non-similar, that abnormal performance will most likely be to the downside in terms of it is most likely to disappoint you.

Why? Because it has never been more overweight in things that are so expensive. And that has never portended to good future returns, right? I'm not telling you you're going to lose your retirement fund. I'm not telling you you're about to get hit by 65%. But I think we should also be thinking about returns a little bit differently. And you said it earlier when we were talking about GDP expanding at 8.5%. 8.5% GDP growth. in this market is not what we're used to thinking of it as being because inflation is playing a much larger role going forward, right? I just think we have to think about, we always need to take history into consideration. It's a big part of investing, big part of what we're doing. I just think that this is one of those times where you need to really underweight recent history.

Right and really look at longer terms. I think you need to go back and look at the 70s and other periods of heightened inflation I think you need to look at You know market reactions to inflation in markets that aren't us markets, right? I I just think it's time to be thinking outside the box and You know that that shouldn't be news to anybody. I think that's it if you've got really good returns over the last two years You only got them well you could have just I guess leaned on and levered up the AI trade. But, you know, in terms of looking at markets, anyway, do you? I'm talking about the situation awareness blow up, but another thing I'll add, to be really important here, and that is not only are the equity indexes less diversified than they used to be, but if you think about 60-40, You know, we had a nice 40, 40 year run where the bond part of that was a shock absorber and kind of do the opposite of the stocks, which super diversification helpful. That's dead. Like

we had this 40 years of disinflation, lower and lower and lower and lower policy rates, like a ratchet that bottomed out starting in 2018, but really obviously in 2020. Now rates go higher and higher and higher. You don't get the lower lows. You have this inflationary backdrop.

So now bonds instead of being this thing that protects you whenever stocks go bad, they often both go bad. So even, even in the most safe air quotes, safe thing you can do or being like 80, 20 bonds, if you're old or whatever, like, or if it's just the 40% or the 30%, like that shock absorber might be more like a spring that blasts through the face instead of, you know, keeping your, your fall from hitting the ground. Yeah. Hey, look, I'll take it a little bit of a step further on that one, which is, I mean, look, I was the guy on the radio raging against bond portfolios since 2016, telling people that the 60-40 was dead. Quite honestly, I don't know what the percentages are, but I will tell you this, had it not been for us talking so extensively about the coming breakdown of the 60-40, I mean, the 60-40 portfolio breaking down and not working is literally what built for work.

you know, from the beginning, I mean, I was the guy raging against bond portfolios in 2016, 2017. Then as is always the case, it took longer than I thought. 2022, you have the worst year in history for bonds. But now, I mean, do I hate them? No, we've got more bond exposure generally speaking than we did in 2018, the rates were zero. That being said, We are only using them, and you know this, obviously, but we're only using them as a very specific asset class. All of it is short-term exposure and we're using it for clients that have cash sitting aside for a purpose. Other than that, a bond allocation is not part of our normal client portfolio right now. And the reason you said, when I look at the risks that I'm taking and I look at the pressures out there, again, it's not a, It's not as bad as investing in bonds when they're at 0%, but they just look incredibly concave. Again, let's make it really easy. Look at recent history over the last five, six years, you show me a 10-year yield in 4.8, and you're like, oh, wow, the way yield impressions aren't a thing anymore.

Then you show me the underlying economy, you show me inflation, you show me everything else, show us our deficits, debt, look at where we're still running deficits, 6% of GDP. And I'm like, nah, man, I mean, if you're

offering me a six to seven on a 10 year, okay, maybe that, you know, right, but you could make the point that that's just, that justifies the risks that I'm taking, right? But at four, at four and a half. With inflation right now. I mean, where are we saying it's at? I mean three and a half one three and a half three and a half Yeah, four and a half on a ten year three three seven on PC so No, I mean that premium No, I mean look at the US balance sheet and fiscal outlook has never been worse I think the historic long run average on the ten years I mean I could be off a little bit, but I think it's right around six six and a half you want me to get excited about getting 50% less yield than the long-term average when the underlying situation for the United States has never been worse. I mean, I can go out there and find really solid companies that will throw me a better dividend than four and a half. And companies whose budgetary outlook and fiscal outlook and balance sheet looks a whole hell of a lot better than the United States governments. To go back to the two ETFs I mentioned earlier, like one of them has a yield of like five. Yeah, there you go. You know, I mean like, There you go. And that, and that's the other thing we were too about watching people load it up in bonds. I'm sitting there. The emerging market ones 4.65 and the, and the foreign ones through 3% yield. And those are, and those are equity. Those are equity based portfolios, right? Yeah. I mean, what? Yeah. I, and yet you'll still see them. They're still pumping out the 60, 40 portfolio. Like it's, you know, like it hasn't had a hiccup. And guys, if you're out there, Now, are there alternatives? Should you be 100% equity exposure? No. I mean, well, probably not. There's a lot of people that shouldn't be, but there are alternatives. There are things that you can use instead of bonds that offer you substantially better yields. And if not even better yields, similar yields with way less downside, I mean, there's all kinds of things. And if you're one of those people, I'll bring it up too. Look at some of the products available in the annuity market, right?

In the insurance market, again, would I advocate writ large, you going into the insurance world or whatever, anything in structured products versus an equity portfolio over the next 10 years? No, not for a growth driver. But if you're a really conservative investor and you got 40 to 50% of your portfolio sitting in bonds and that reflects your risk appetite, I would tell you that you need to call us or somebody else because you shouldn't be sitting in that many bonds. More importantly, I don't think that being in 40

to 50% bonds is necessarily a safe portfolio than being 80 to 90% equities. Now, not unless it's all T bills. Yeah. Right. Yeah, it depends on the equities. And there's a lot of other things in here. But, you know, if you're one of those investors that sit on a bunch of that, like I said, call us or call somebody else because there's just much better risk reward ways to generate yield. I mean, shoot, man. Again, look at the interest rate.

Look, I'm not suggesting this when I'm talking about a replacement. Go look at the REIT that we use, that privately held REIT that we use for clients that are looking for some exposure in real estate in different areas. Go compare the long run return of that REIT and pick your bond fund. Let's put it up against PIMCO total return, which is historically an excellent returning. That thing has slaughtered PIMCO total return over the last 25 years. and has done it, almost double the returns with 30% of the downside volatility. And it's throwing off 50% more yield than PIMCO total return. And a third of that is tax deductible, because you get the underlying depreciation. And that's a commercial real estate fund that in 0809 during the real estate collapse, it was down 22% at the bottom when bonds as an asset, investment grade bonds as an asset class for down 28 and the market was down over 60. More importantly, in the next 18 months after that, it went back into the black. I'm not trying to pitch this fund to anybody. I'm using it as an example. If you've got a bunch of money sitting in your portfolio in fixed income in bonds, and I don't care what the advisor is saying about it, there's a better way to do this and where you can generate more return taking less risk. And now, Do I think that that real estate portfolio would be an alternative for our equity portfolios? No. I think our equity portfolios will continue to massively outperform it because of the scenario that we're in. But compared to a bond portfolio, yeah, there's no question it's gonna be better. So I think there's all kinds of things like that out there. I think this is one of the worst times to be investing in a historically normal way.

Like meaning give me the 60 you know I'm saying looking at the long-term trends. Give me the market. Give me the 60 40 portfolio. I think those long-term Kind of rules of thumb are more dangerous now than they've ever been Just because they've been overdone right that's been oversubscribed. It's like a it's like a It's like an IPO that just gets way too much hype and the price

gets away from you know It's just for what it's delivering And, you know, the other thing too is for those people out there that still have hope or belief in the 60-40 portfolio, the reason behind it's really simple, right? That portfolio didn't even come into existence until the 80s. And then just go look at the trend interest rates over the next 25, 30 years. That's the story. There was nothing magic about pairing up bonds and equities.

It was just some, quite frankly, it was just something really smart and brilliant during a period of time that Ray Dalio and Bridgewater discovered. And, you know, that was kind of the birthing place of it. They're not the ones that get credit for doing it on the retail investor side. But when you, you know, 6040 was basically an extension of risk parity. You know, it was the retail version of risk parity is really all it was. Right? Where we're, which was a brilliant idea when you're in there buying 30 year, you know, you could buy, you were buying 10 year bonds man, 11, 12%. You know, you could be getting 16 off 30. Right? We're going to go in there. We believe inflation is peak. We're going to level up the bond side of the portfolio. So when liquidity crisis happens, your equities are going to get hit, but the lever side of your portfolio is actually going to benefit. It was a positive carry hedge, which was kind of like a unicorn for 40 years.

Yep, and and it is just over and to watch people allocating capital not Like not considering that reality is just mind-blowing to me, right? You're like guys You know it kind of reminds me when Obama you know was it in the in the election against Romney where he said hey the 1980s called they want your foreign policy back I'm like hey the 80s called and they want their your your investment right philosophy back like that you're driving a carbureted car. You know what I mean? You're just, you're way outdated. This doesn't work. Yeah. I, uh, there's a great book that Kirill Sokoloff and someone else wrote together, uh, in the 80s called his inflation ending. And it was like all about, they basically called it like the top inflation and the bottom and bonds. And obviously it had been an incredible stretch there. But if you read through it, all the reasoning they had, you could basically flip on its head now.

It's one of the things that has helped me navigate the last few years, recognizing like, oh, this is secular shifting back the other way. Just going

back to that book and like every bullet point was like, oh, I've seen this movie before in that book. Now it's upside down. It's a problem with bottoming. So we'll get there again, 25 years now or something. You might have another awesome opportunity to go buy bonds. And I hope so, because I'll be an old man by then on Nita. Oh, well, I mean, I still to this day limit not having access to my, in my opinion, which was probably the greatest investment on a risk reward basis, maybe ever, but certainly in the past 40 years was mid 80s going and buying the long bond.

It was epic trade. I mean, it's just amazing. Yeah, you bought the long bond in 85. I don't remember exactly what the coupon was, but let's say you're clipping 12 or 13% off that thing for 20 years. And then when you went to go sell that in 2005, you sold the underlying bond for 150% more than you paid for it or something like that. It had to be insane from a... capital appreciation standpoint just oh Yeah, and that remember that was after you carried it for 20 years ripping 13% coupons off it annually and then you and then at the end of that 20 year run you sold the underlying for 150 or 200% more than you bought it for it was it was a It was the best risk could just trade of all time And it's so funny because you hear people in the financial industry talk about this golden time that was equity investing from 1980 to present and you're sitting there going guys The greatest risk reward play ever was fixed income during that period of time. And for a large chunks of that time, it outperformed equities. Like you were, for decades at a time, you were better off to just own the 10 year or whatever, than the S&P. Yeah, by treasuries and wear pearls, right? Yeah, diamonds. Yeah, but we're diamonds, that's it.

For a long time, it was legit. And if you think about it, if you're willing to hold the thing to maturity, then you literally aren't going to lose on a nominal basis. So that's the beauty of it is if you're willing to hold it, you can't lose, but you can win big. So it had its own convexity where now it's kind of the other way around where you look at an inflationary picture, you look at policy makers wanting to cap the yields and stuff. That's when you're like, oh, there's a lot of downside here that didn't used to exist in it. Oh, it's literally the inverse. Now you have a suppressed yield on something like I said, I don't know what the number is, but it's probably 7% or north for me to look at bonds and think they were a decent risk reward here.

You're not going to get that chance anytime soon. No, I know, I know, but I'm just in my mind is a mental exercise. I mean, what would make you want? What yield would make you? Well, it, it probably yielded for me. Yeah, you're right. It'd be a macro setup.

that the debt to GDP was radically lower and it had a solid yield. And I thought policy makers may let me get a yield that the market likes. Instead of they like, then yes. But I think that's true years away. I think that's fair. And the only thing that would draw me into a significant allocation of bonds in this point would be something purely tactical. Yeah, that's always fair. Yeah. There may be a big slowdown at some point where you want them. Yeah, but on a strategic or a longer term, basis. There's just no, yeah, there's, yeah. I mean, if they do well, that means the government probably in some ways isn't so. Yeah. Yeah. Yeah, I probably guess that's your GDPs is going to get worse. So yeah, it's not gonna be pretty. Um, God, we already went longer than I thought we did. I didn't realize how much time is gone. Do you have anything else you want to get to to wrap up the week here? One last quick thing and that is the reports out today that uh, rare earth imports, uh, have really slowed down from China lately. There's something I've been kind of watching for because we've gotten a little, a little more aggressive and uppity with China and some, some smaller ways. Uh, so I'm not surprised that all of a sudden, and it comes ahead of G coming to town. Cause we like did some stuff ahead of him coming to town and like it just classic kind of posturing stuff. Like we, we raised some tariffs or whatever. Now they're like, Oh cool. Like.

So now they can negotiate back like, can we get some more of those? And we'll like, we'll probably pull down some tariffs or whatever. But that was notable to me because that's genuinely very problematic for our manufacturing. So something to watch in the next month or two. All right, man. I definitely something we'll keep our eyes on. I don't think I have anything else. So I think we'll call it a day. So as always, if you guys want to follow us for both on X, you can find me at KYR Radio, Chase's app, Pinecone Macro. And as always, video feed on YouTube to search Know Your Risk podcast, not too hard to find for advisory services, go to FullworkCapitalManagement.com. You guys know the drill. Have a wonderful extended weekend and we'll see you on Tuesday. I know you're

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